

Saving Europe's steel strains critical friendships abroad

送信者: POLITICO Pro Article 受信日時: 2026-07-14 22:22

【メール原文】

BRUSSELS — Protecting Europe's steel industry was always going to require difficult trade-offs.

Pro is better in the app.

[Click here to download.](#)

Saving Europe's steel strains critical friendships abroad

By Koen Verhelst · Jul 14, 2026, 3:21 PM · [View in your browser](#)

BRUSSELS — Protecting Europe's steel industry was always going to require difficult trade-offs.

But with cheap imports surging, its existing protections about to expire and Donald Trump once again raising barriers to steel, the European Commission concluded it had little choice but to shore up an industry central to Europe's manufacturing and defense ambitions.

It did so using a mix of legal creativity and hardball tactics. By sharply curbing steel imports and presenting its trading partners with what many saw as take-it-or-leave-it deals, Brussels may have secured some breathing room for European producers. But it has also frayed ties with some of the very countries it says it needs to uphold the rules-based trading system and counter China's industrial overcapacity and U.S. protectionism.

"It turns out that it was meaningless to conclude our free-trade agreement with the EU," a senior diplomat from an Asian country sighed in May after sitting through hours of negotiations with EU counterparts.

The talks followed a unilateral decision by Brussels to slash imports of tariff-free steel by almost half. China, the world's largest steel producer, saw its quota cut by roughly two-thirds. Countries with free-trade agreements received more favorable treatment, but only after agreeing not to challenge the new restrictions through the dispute-settlement mechanisms built into those accords.

"The EU used to be the leader of the rules-based trading system," the diplomat said, describing the Commission's negotiators as "stubborn."

Forced to act

That obduracy was essential, EU trade negotiators believed, if the European steel industry was to survive amid a global supply glut and weak demand. Production sank to a new low in 2025 as imports captured a record share of the European market.

Yet Europe's manufacturers of machinery, wind turbines, vehicles and armaments all depend on domestic steel production.

President Donald Trump's return to the White House in January 2025 put the EU on notice that things were about to get worse just as its existing steel safeguards were approaching expiry.

Trump hiked U.S. tariffs on all steel imports to 50 percent in June, raising the prospect that steel shut out of the U.S. market would be redirected to Europe. The bloc's existing protection scheme, with

quotas and tariffs, was due to end on July 1 this year under World Trade Organization rules.

Brussels was thus forced to make some tough calls to avoid a cliff edge where EU producers would lose all protection. It opted to renegotiate certain import rules with its trading partners under Article 28 of the General Agreement on Tariffs and Trade, the precursor to the WTO.

Take it or leave it

Industry Commissioner Stéphane Séjourné announced last October that the EU would slash tariff-free imports by almost half while doubling tariffs to 50 percent — in line with the U.S. rate. Only once that was locked in did Brussels begin negotiations with steel-exporting nations.

With the numbers already fixed before negotiators sat down, the experience was an insulting one for the Asian diplomat quoted above, who was granted anonymity to discuss the closed-door talks.

Having devoted their career to liberalizing trade, they now had to sit through talks that did exactly the opposite. “It got slightly better with every round, but it was no real negotiation,” the diplomat recalled.

Moreover, Brussels dangled larger steel quotas to those trade partners who agreed to sign a document stating they accepted the revised quotas and tariff regime that had effectively been decided before the talks began. A second diplomat called the offer “a threat,” and added that “the EU basically says: Take it or leave it. If we don’t accept the quota proposal, they will just redistribute it among other partners.”

Free-trade agreements are designed to be difficult to reopen and normally include formal dispute settlement procedures, but Brussels wanted assurances its partners wouldn’t use them.

In the end the Commission claimed it had reached agreements in principle with almost all free trade steel suppliers, including major producers Turkey, South Korea and India. While Brazil denied reaching any such agreement, no country has yet opted to sue the EU — either bilaterally or at the WTO.

Among the EU’s largest steel suppliers, only two FTA partners failed to reach a deal: Japan and Vietnam. Neither has commented publicly.

Gun to the head

A senior European Commission official admitted the steel negotiations were “not an easy conversation,” but argued the EU’s approach was still preferable to Trump’s blanket 50 percent tariff on all steel imports.

“There are no [quotas] currently in place for trading partners with the United States, and the U.S. has not engaged in the process that we have engaged in,” the official said.

The steel talks also highlight a broader debate in Brussels over how the EU should respond to Chinese overcapacity and a more protectionist global trading environment. European capitals want the Commission to defend strategically important industries more aggressively, but without repeatedly testing the legal and political limits of the bloc’s trade agreements.

“We should have started doing this kind of thing ages ago,” said trade lawyer Laurent Ruessmann, a Brussels-based partner at RB Legal. “The EU finally went in strongly and almost held a gun to the head of its trade partners.”

A diplomat from an EU country, however, said the quota talks had “created a lot of misunderstanding with our dearest friends,” referring to countries including Brazil, Japan and South Korea. The Commission, they argued, needed new trade-defense tools that would allow it to target unfair trade more precisely. “We didn’t give the Commission a good enough instrument to do it in a more targeted way.”

That concern is shared by some of the EU’s trading partners. A diplomat from a country that ultimately reached an agreement in principle with Brussels said their government had warned against treating steel as a template for other industries.

“We argued that steel shouldn’t set a bad precedent. Still, the concern is real,” the diplomat said. “Other sectors like chemicals and shipbuilding are already panicking.”

Trade Trade UK Energy and Climate Mobility Sustainability Defense

Defense Environment Imports Industry Markets Negotiations Overcapacity Protectionism Shipbuilding Steel Tariffs Trade Trade Agreements Donald Trump Stéphane Séjourné European Commission World Trade Organization (WTO) Brazil China India Japan South Korea Turkey United States Vietnam

This email alert has been sent for your exclusive use as a POLITICO Pro subscriber. Forwarding or reproducing the article without the express, written permission of POLITICO Pro is a violation of the POLITICO Pro license agreement.

This email was sent to shondo@iies.co.jp

[Update settings](#) | [Unsubscribe from this email](#) | [Unsubscribe from all emails](#)

POLITICO SRL · Rue de la Loi 62 · Brussels 1040 · Belgium